articles sought to replace it with a term that represents more than merely beating the market. Vanguard proposes the term *Advisor Alpha* to explain this broader concept. David Blanchett and Paul Kaplan at Morningstar settled on *Gamma*. One thing is certain; as it pertains to investing, *alpha* is really just a Greek word for "myth."

Vanguard's Advisor Alpha

Vanguard developed their Advisor Alpha concept in 2001. Their infographics show their overall estimate for Advisor Alpha as 3 percent on a net basis (4 percent less an assumed 1 percent advisory fee). In the introduction of their report, they explain that their objective is to shift the focus away from "traditional beat-the-market objectives" (i.e., traditional alpha) toward what they view as the "best practices of wealth management."

These best practices are separated into several categories, shown in Exhibit 9.1, that focus on tax efficiency, costs, risk management, and making good investment decisions.

Suppose a good comprehensive financial advisor who does all these things charges a fee of 1 percent of assets under management. An investor who can do all of the above on his or her own can keep that fee. However, investors who don't know how to effectively implement these steps—or choose to devote their time and energy elsewhere—miss this extra Advisor Alpha. Even though they saved the 1 percent fee, they will likely end up worse off for not implementing all these other important aspects of a good financial plan.

Exhibit 9.1

Components of Vanguard's Advisor Alpha: Impact on an Investor's Returns